Market research

1.3.1.2 Meeting customer needs · Unit 1 · Mr. Akram — Akademy

Purpose & types

Market research is the collection and analysis of data to inform a business about its market — identifying customer needs, estimating demand and understanding behaviour before committing resources.

- **Primary (field)** — first-hand, original data collected straight from the market.
- **Secondary (desk)** — existing data already produced, from internal (sales/loyalty) or external (reports, government) sources.

Methods

Primary (field)	Secondary (desk)
Surveys & questionnaires; focus groups & interviews; observation; test marketing & product trials.	Internet & databases; market & industry reports; government reports; newspapers & social media.

Primary is tailored and current but costly/slow; secondary is cheap and quick but may be dated or non-specific. Firms often use both.

Quantitative vs qualitative

- **Quantitative** — numerical data (how much, how many, how often); measures trends and demand.
- **Qualitative** — opinions, reasons and motivations (why, would, how); gives depth but is subjective.

Sampling

- **Random** — equal chance of selection; quick/cheap but may not represent the market.
- **Stratified** — split into sub-groups, random sample from each in proportion; more representative.
- **Quota** — like stratified but convenience selection within each sub-group; faster but less random.
- **Sampling bias** — when the sample doesn't represent the target market (wrong participants or too small); quota/stratified reduce it.

Using ICT

- **Loyalty cards** — link purchases to customer data (age, location, preferences) for personalised insight.
- **Social media** — low-cost engagement and instant feedback on ideas and campaigns.